ROYALTYOS / CONTRACT PARSING TEST SUITE

Time-Phased Participation & Rolling Performance Adjustment Agreement

Fixed release-age phases plus a non-retroactive performance overlay based on trailing three-month receipts.

SYNTHETIC TEST DOCUMENT

The parties, addresses, thresholds, balances, formulas, and payments in this document are fictional test data. This document is designed to exercise contract extraction and payout-calculation logic. It is not legal, tax, accounting, or investment advice and should not be signed or relied on as an operative agreement.

PARTIES AND CANONICAL ROLE KEYS

RoyaltyOS party key	Contract role	Payout email supplied in test screen
ARTIST	Artist	sb-chtub531737750@business.example.com
FEATURED_CREATOR	Featured Creator	sb-chtub531737750@business.example.com
MANAGER	Manager	sb-evnqd5317862@personal.example.com
PRODUCER	Producer	sb-evnqd5317862@personal.example.com

Document metadata	Value
Test ID	ROS-03
Calculation model	One time-based base split per month, followed by at most one mutually exclusive rolling-performance overlay.
Primary stress case	Calendar-month boundaries, first-three-month overlay exclusion, mutually exclusive high/low triggers, and prospective changes.
Currency / statement cadence	USD / monthly close unless a clause expressly defines a quarterly measurement window
Named recipients	Artist, Featured Creator, Manager, Producer only

Use each PDF as an independent contract scenario. Do not merge a balance, threshold counter, reserve ledger, or payout history from one PDF into another.

1. Scope, timing anchor, and identity

This agreement uses the first commercial release date of the Project as Month 1. Month numbers are consecutive calendar-month periods anchored to that release date. The only participants are Artist, Featured Creator, Manager, and Producer. Their canonical party keys are ARTIST, FEATURED_CREATOR, MANAGER, and PRODUCER; duplicate destination emails do not merge identities.

The terms apply to all Project receipts collected during the term and to later receipts attributable to the Project. After Month 36, the tail split in the table below continues for the life of those receipts unless all four parties sign a written replacement.

2. Net receipts and rolling reserve

Net Receipts N_t equal collected gross receipts G_t less actual platform/payment fees, taxes actually remitted, refunds/chargebacks, and documented approved direct Project expenses. Direct expenses are capped at 15% of G_t per statement unless all four parties approve the excess. N_t is floored at zero.

Reserve and allocation base

```
N_t = max(0, G_t - D_t)
H_t = min(0.08 * N_t, max(0, $25,000 - (ReserveBalance_open - U_t)))
P_t = N_t - H_t + U_t
RoyaltyPool_t = P_t
```

The reserve is 8% of Net Receipts until the reserve balance reaches $25,000. Each holdback cohort releases 75% at age 90 days and the remaining 25% at age 180 days, subject to an unresolved, directly attributable chargeback. U_t is not held back again.

3. Base split by project month

Base split schedule

Project month	Artist	Featured Creator	Manager	Producer
Months 1-6	35%	30%	15%	20%
Months 7-18	42%	25%	13%	20%
Months 19-36	49%	21%	12%	18%
Month 37 onward (tail)	52%	18%	10%	20%

Select exactly one base row using the statement’s Project month. Do not interpolate between phases. The change takes effect on the first day of the relevant Project month and does not retroactively alter earlier receipts or payments.

4. Rolling performance overlay

The overlay is evaluated at the beginning of each Project month from the Net Receipts in the three immediately preceding completed statements. It is unavailable in Months 1, 2, and 3 because three completed periods do not yet exist. The current month’s receipts never determine the current month’s overlay.

Overlay decision table

Trigger using preceding 3 completed months	Overlay applied to the selected base split
High: total N for the preceding three months >= $90,000	Add 3 percentage points to Artist and 2 points to Featured Creator; subtract 5 points from Manager. Producer is unchanged.
Low: total N for the preceding three months < $15,000	Subtract 4 percentage points from Artist; add 2 points to Manager and 2 points to Producer. Featured Creator is unchanged.
Neutral: total is >= $15,000 and < $90,000	No overlay; use the base split unchanged.
Months 1-3	No overlay, regardless of available partial-month values.

The High and Low triggers cannot both apply. The exact boundary of $15,000 is Neutral; the exact boundary of $90,000 is High. Apply only one overlay and then calculate the payout on P_t. Percentages after overlay must sum to 100%; any implementation result that does not sum to 100% is invalid and must not be paid.

5. Worked examples

Performance examples

Example	Base phase and trailing receipts	Effective split	If P_t = $50,000
A - High	Month 10; Months 7-18 base; trailing three-month N = $100,000	Artist 45%, Featured Creator 27%, Manager 8%, Producer 20%	Artist $22,500; Featured Creator $13,500; Manager $4,000; Producer $10,000
B - Low	Month 22; Months 19-36 base; trailing three-month N = $12,000	Artist 45%, Featured Creator 21%, Manager 14%, Producer 20%	Artist $22,500; Featured Creator $10,500; Manager $7,000; Producer $10,000
C - Neutral	Month 8; Months 7-18 base; trailing three-month N = $50,000	Artist 42%, Featured Creator 25%, Manager 13%, Producer 20%	Artist $21,000; Featured Creator $12,500; Manager $6,500; Producer $10,000
D - Initial months	Month 2; no three completed prior statements	Artist 35%, Featured Creator 30%, Manager 15%, Producer 20%	Artist $17,500; Featured Creator $15,000; Manager $7,500; Producer $10,000

6. State sequencing and calculation order

Mandatory processing order

```
1. Validate and identify statement month t.
2. Calculate G_t, D_t, N_t, H_t, U_t, and P_t.
3. If project month is 1-3: use base split only.
4. Otherwise sum N for t-1, t-2, and t-3.
5. Select High, Low, or Neutral overlay using inclusive boundaries above.
6. Apply overlay to exactly one base split row.
7. Allocate P_t; round only final individual payouts to cents.
8. Preserve unrounded values for future ledger calculations.
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If a prior period is restated, the corrected historic N is used in the rolling window for future calculations from the next unissued statement. Already paid statements are not automatically clawed back, and the overlay does not retroactively change a completed statement.

7. Payment, rounding, and reports

- Issue monthly statements within 15 calendar days after month-end and pay within 10 business days after issuance.
- Calculate percentages against full-precision P_t; round each payee’s final payment to cents. Assign any one-cent residual caused by rounding to Artist, so the four actual payout amounts equal the distributable pool to the cent.
- If an individual payable amount is below $100, carry it forward in that party’s account without reallocation.
- Each statement must disclose Project month, phase row, each of the three trailing N values, trailing sum, trigger result, effective percentages, holdback, released cohorts, and payout amounts.

8. RoyaltyOS assertions

Boundary tests

Test case	Required result
Trailing total = $14,999.99	Low overlay applies.
Trailing total = $15,000.00	Neutral overlay applies.
Trailing total = $89,999.99	Neutral overlay applies.
Trailing total = $90,000.00	High overlay applies.
Month 3 trailing sum = $0	No overlay: first-three-month exclusion overrides Low trigger.
Month 19	Base phase switches to 49/21/12/18 before overlay is considered.
P_t = $0	All calculated participant payouts equal zero; no division or rounding error.

SIGNATURES / TEST FIXTURE ACKNOWLEDGMENT

The signature area exists to test extraction of named signatories and execution blocks. No signature is populated, and the conspicuous synthetic-test designation overrides any appearance of legal execution.

Canonical party key	Authorized signature	Date
ARTIST	_____	_____
FEATURED_CREATOR	_____	_____
MANAGER	_____	_____
PRODUCER	_____	_____